

PROPOSED
SENATE AMENDMENTS TO H.B. 2752
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 41-1504, Arizona Revised Statutes, is amended to
3 read:

4 41-1504. Powers and duties; e-verify requirement

5 A. The board ~~of directors~~, on behalf of the authority, may:

6 1. Adopt and use a corporate seal.

7 2. Sue and be sued.

8 3. Enter into contracts as necessary to carry out the purposes and
9 requirements of this chapter, including intergovernmental agreements
10 pursuant to title 11, chapter 7, article 3 and interagency service
11 agreements as provided by section 35-148.

12 4. Lease real property and improvements to real property for the
13 purposes of the authority. Leases by the authority are exempt from
14 chapter 4, article 7 of this title, relating to management of state
15 properties.

16 5. Employ or retain legal counsel and other consultants as
17 necessary to carry out the purposes of the authority.

18 6. Develop and use written policies, procedures and guidelines for
19 the terms and conditions of employing officers and employees of the
20 authority and may include background checks of appropriate personnel.

21 B. The board ~~of directors~~, on behalf of the authority, shall:

22 1. Develop comprehensive long-range strategic economic plans for
23 this state and submit the plans to the governor.

24 2. Annually update a strategic economic plan for submission to the
25 governor.

26 3. Accept gifts, grants and loans and enter into contracts and
27 other transactions with any federal or state agency, municipality, private
28 organization or other source.

1 C. The authority shall:

2 1. Assess and collect fees for processing applications and
3 administering incentives. The board shall adopt the manner of computing
4 the amount of each fee to be assessed. Within thirty days after proposing
5 fees for adoption, the chief executive officer shall submit a schedule of
6 the fees for review by the joint legislative budget committee. It is the
7 intent of the legislature that a fee shall not exceed one percent of the
8 amount of the incentive.

9 2. Determine and collect registry fees for the administration of
10 the allocation of federal tax exempt industrial development bonds and
11 student loan bonds authorized by the authority. Such monies collected by
12 the authority shall be deposited, pursuant to sections 35-146 and 35-147,
13 in an application fees fund. Monies in the fund shall be used, subject to
14 annual appropriation by the legislature, by the authority to administer
15 the allocations provided in this paragraph and are exempt from the
16 provisions of section 35-190 relating to the lapsing of appropriations.

17 3. Determine and collect security deposits for the allocation, for
18 the extension of allocations and for the difference between allocations
19 and principal amounts of federal tax exempt industrial development bonds
20 and student loan bonds authorized by the authority. Security deposits
21 forfeited to the authority shall be deposited in the state general fund.

22 4. ~~At the direction of the board~~ SUBJECT TO LEGISLATIVE
23 APPROPRIATION FOR THAT SPECIFIC PURPOSE, establish and supervise the
24 operations of full-time or part-time offices in other states and foreign
25 countries for the purpose of expanding direct investment and export trade
26 opportunities for businesses and industries in this state [~~if,~~] [. ANY SUCH
27 LEGISLATIVE APPROPRIATION SHALL BE] based on [THE] objective research~~;~~
28 [PREPARED BY] the authority [PURSUANT TO SUBDIVISION B OF THIS PARAGRAPH,
29 TO] ~~[determines]~~ [DETERMINE] that the effort would be beneficial to the
30 economy of this state. ON OR BEFORE DECEMBER 1 OF EACH YEAR, THE
31 AUTHORITY SHALL SUBMIT TO THE JOINT LEGISLATIVE BUDGET COMMITTEE A REPORT
32 ON THE ACTIVITIES OF EACH TRADE OFFICE OPERATED BY THE AUTHORITY DURING
33 THE PRIOR FISCAL YEAR [AND OBJECTIVE RESEARCH THAT IDENTIFIES POTENTIAL
34 OFFICES, IF ANY, IN OTHER STATES AND FOREIGN COUNTRIES FOR THE PURPOSE OF
35 EXPANDING DIRECT INVESTMENT AND EXPORT TRADE OPPORTUNITIES FOR BUSINESSES
36 AND INDUSTRIES IN THIS STATE].

37 5. Establish a program by which entrepreneurs become aware of
38 permits, licenses or other authorizations needed to establish, expand or
39 operate in this state.

40 6. Post on its website on an annual basis a report that contains at
41 least the following information~~;~~ and submit a copy to the governor, the
42 president of the senate and the speaker of the house of representatives:

43 (a) The cumulative progress made toward its goals for direct job
44 creation, capital investment and higher average wages and the estimated
45 number of indirect jobs and induced jobs created as a result of the work
46 and the programs of the authority.

1 (b) To the extent not prohibited by law, information on each
2 incentive application approved by the authority in the fiscal year,
3 including the amount of the incentive approved or awarded and the
4 applicant's activity that is projected or has been achieved, whichever is
5 applicable, to qualify for the incentive.

6 (c) Rural economic development outreach and impact data.

7 (d) Small business outreach and impact data.

8 7. Develop and implement written policies and procedures relating
9 to the administration of grants from the Arizona competes fund established
10 by section 41-1545.01, including the following elements:

11 (a) Procedures for documenting grantee selection and due diligence.

12 (b) Procedures for verification of information submitted by
13 grantees.

14 (c) Procedures for evaluating requests to amend grant terms and for
15 documenting decisions relating to those requests.

16 8. Notwithstanding any other law, on request of the office of
17 economic opportunity, disclose to the office of economic opportunity
18 applicant information for incentives administered, in whole or in part, by
19 the authority. Any confidentiality requirements provided by law
20 applicable to the information disclosed pursuant to this paragraph apply
21 to the office of economic opportunity.

22 9. On or before December 31 of each year, compile the data
23 collected pursuant to subsection F of this section and submit a report to
24 the governor, the president of the senate, the speaker of the house of
25 representatives and the secretary of state.

26 D. The authority, through the chief executive officer, may:

27 1. Contract and incur obligations reasonably necessary or desirable
28 within the general scope of the authority's activities and operations to
29 enable the authority to adequately perform its duties.

30 2. Use monies, facilities or services to provide matching
31 contributions under federal or other programs that further the objectives
32 and programs of the authority.

33 3. Accept gifts, grants, matching monies or direct payments from
34 public or private agencies or private persons and enterprises for the
35 conduct of programs that are consistent with the general purposes and
36 objectives of this chapter.

37 4. Assess business fees for promotional services provided to
38 businesses that export products and services from this state. The fees
39 shall not exceed the actual costs of the services provided.

40 5. Establish and maintain one or more accounts in banks or other
41 depositories, for public or private monies of the authority, from which
42 operational activities, including payroll, vendor and grant payments, may
43 be conducted. Individual funds that are established by law under the
44 jurisdiction of the authority may be maintained in separate accounts in
45 banks or other depositories, but shall not be commingled with any other
46 monies or funds of the authority.

47 E. The chief executive officer shall:

1 1. Hire employees and prescribe the terms and conditions of their
2 employment as necessary to carry out the purposes of the authority. The
3 board of directors shall adopt written policies, procedures and
4 guidelines, similar to those adopted by the department of administration,
5 regarding officer and employee compensation, observed holidays, leave and
6 reimbursement of travel expenses and health and accident insurance. The
7 officers and employees of the authority are exempt from any laws
8 regulating state employment, including:

9 (a) Chapter 4, articles 5 and 6 of this title, relating to state
10 service.

11 (b) Title 38, chapter 4, article 1 and chapter 5, article 2,
12 relating to state personnel compensation, leave and retirement.

13 (c) Title 38, chapter 4, article 2, relating to reimbursement of
14 state employee expenses.

15 (d) Title 38, chapter 4, article 4, relating to health and accident
16 insurance.

17 2. Maintain three full-time employees to serve as advocates for
18 small and rural businesses on economic development and regulatory matters
19 before cities, towns, counties or state agencies. Two of the full-time
20 employees shall be dedicated to small business growth, support and
21 regulation, one of whom shall serve as a small business ombudsman. One of
22 the full-time employees shall be dedicated to rural economic development.

23 3. On a quarterly basis, provide public record data in a manner
24 prescribed by the department of administration related to the authority's
25 revenues and expenditures for inclusion in the comprehensive database of
26 receipts and expenditures of state monies pursuant to section 41-725.

27 F. On or before September 30 of each year, each city, town and
28 county in this state shall submit to the authority the city's, town's or
29 county's statistics for the preceding fiscal year that include all of the
30 following:

31 1. The average time from the submission of an initial building
32 permit application to a certificate of occupancy.

33 2. The average time from the submission of a zoning application to
34 zoning approval.

35 3. The average time from the submission of a final plat to the
36 recordation of the final plat.

37 4. Any other statistics as determined by the authority or the
38 municipality time frames advisory committee established by section 41-1527
39 relating to municipal and county support for economic development
40 projects.

41 G. In addition to any other requirement, in order to qualify for
42 any grant, loan, reimbursement, tax incentive or other economic
43 development incentive pursuant to this chapter, an applicant that is an
44 employer must register with and participate in the e-verify program in
45 compliance with section 23-214. The authority shall require verification
46 of compliance with this subsection as part of any application process.

1 H. Notwithstanding any other law, the authority is subject to
2 chapter 3.1, article 1 of this title, relating to risk management.

3 I. The authority is exempt from title 18, chapter 1, articles 1 and
4 2, relating to statewide information technology. The authority shall
5 adopt policies, procedures and guidelines regarding information
6 technology.

7 J. The authority is exempt from state general accounting and
8 finance practices and rules adopted pursuant to chapter 4, article 3 of
9 this title, but the board shall adopt written accounting practices,
10 systems and procedures for the economic and efficient operation of the
11 authority. The authority shall adopt policies pursuant to this subsection
12 that prohibit using state monies as defined in section 35-321 to provide
13 business executives lodging, alcoholic beverages, personal transportation
14 or tickets to entertainment events for the purposes of attracting
15 businesses to this state.

16 K. The authority is exempt from section 41-712, relating to the
17 installation and maintenance of telecommunication systems.

18 L. The authority may lease or purchase motor vehicles for use by
19 employees to conduct business activities. The authority is exempt from
20 section 28-472, relating to the state motor vehicle fleet, and title 38,
21 chapter 3, article 10, relating to vehicle usage and markings.

22 M. Any tangible or intangible record submitted to or compiled by
23 the board or the authority in connection with its work, including the
24 award of monies, is subject to title 39, chapter 1, unless an applicant
25 shows, or the board or authority determines, that specific information
26 meets either of the following:

27 1. If made public, the information would divulge the applicant's or
28 potential applicant's trade secrets, as defined in section 44-401.

29 2. If made public, the information could potentially harm the
30 applicant's, the potential applicant's or this state's competitive
31 position relating to potential business development opportunities and
32 strategies.

33 N. The authority is exempt from chapter 25, article 1 of this
34 title, relating to government competition with private enterprise.

35 Enroll and engross to conform

36 Amend title to conform

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